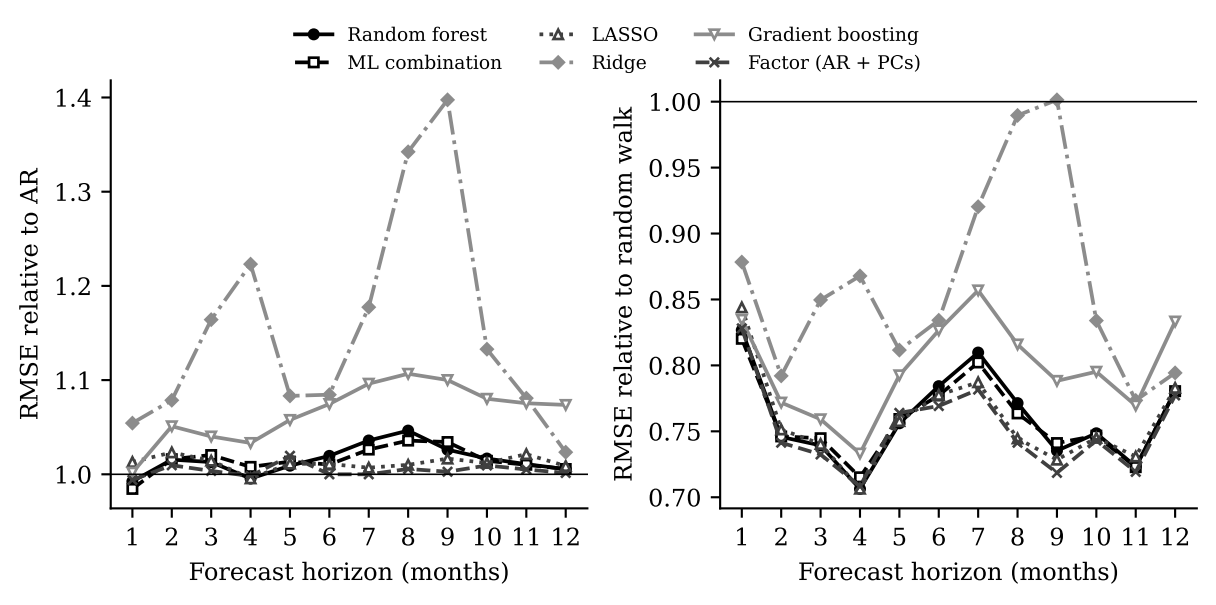
Random forest
ML combination
LASSO
Ridge
Gradient boosting
Factor (AR + PCs)
RMSE relative to AR
1.4
1.3
1.2
1.1
1.0
1 2 3 4 5 6 7 8 9 10 11 12
Forecast horizon (months)
RMSE relative to random walk
1.00
0.95
0.90
0.85
0.80
0.75
0.70
1 2 3 4 5 6 7 8 9 10 11 12
Forecast horizon (months)